

LAG SELECTION CRITERIA

VAR Order Selection (* highlights the minimums)

	AIC	BIC	FPE	HQIC
0	18.34	18.34	9.230e+07	18.34
1	13.67	13.68	8.642e+05	13.67
2	13.61	13.63	8.135e+05	13.62
3	13.60	13.63	8.034e+05	13.61
4	13.57	13.61	7.852e+05	13.59
5	13.55	13.60	7.693e+05	13.57
6	12.29	12.35*	2.177e+05	12.31
7	12.29	12.36	2.177e+05	12.31
8	12.28	12.36	2.152e+05	12.31*
9	12.28*	12.36	2.146e+05*	12.31

PROCESSING SECTOR: XLK

PROCESSING SECTOR: XLE

--- Granger Causality: Macro -> XLK

[NFP_Surprise]

Lag 1: p-value = 0.0300 **
 Lag 2: p-value = 0.2079
 Lag 3: p-value = 0.3370
 Lag 4: p-value = 0.3066
 Lag 5: p-value = 0.7410

[Retail_Sales_Surprise]

Lag 1: p-value = 0.0112 **
 Lag 2: p-value = 0.1343
 Lag 3: p-value = 0.3390
 Lag 4: p-value = 0.6547
 Lag 5: p-value = 0.8641

--- Granger Causality: Macro -> XLE

[NFP_Surprise]

Lag 1: p-value = 0.0000 ***
 Lag 2: p-value = 0.0011 ***
 Lag 3: p-value = 0.0198 **
 Lag 4: p-value = 0.0289 **
 Lag 5: p-value = 0.0756 *

[Retail_Sales_Surprise]

Lag 1: p-value = 0.0003 ***
 Lag 2: p-value = 0.0408 **
 Lag 3: p-value = 0.1909
 Lag 4: p-value = 0.4566
 Lag 5: p-value = 0.8010

PROCESSING SECTOR: XLF

PROCESSING SECTOR: XLV

--- Granger Causality: Macro -> XLF

[NFP_Surprise]

Lag 1: p-value = 0.0000 ***
 Lag 2: p-value = 0.0000 ***
 Lag 3: p-value = 0.0001 ***
 Lag 4: p-value = 0.0013 ***
 Lag 5: p-value = 0.0086 ***

[Retail_Sales_Surprise]

Lag 1: p-value = 0.0000 ***
 Lag 2: p-value = 0.0000 ***
 Lag 3: p-value = 0.0000 ***
 Lag 4: p-value = 0.0006 ***
 Lag 5: p-value = 0.0070 ***

--- Granger Causality: Macro -> XLV

[NFP_Surprise]

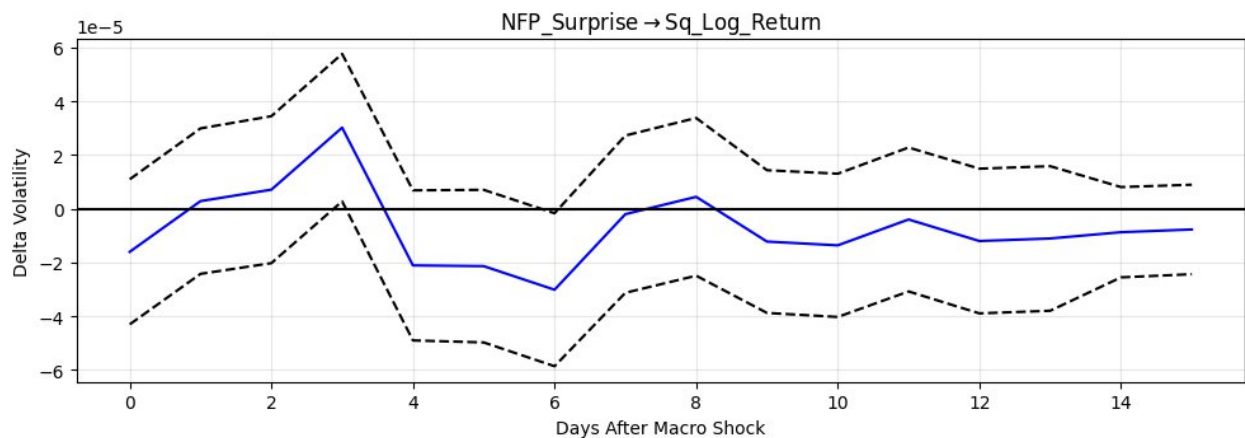
Lag 1: p-value = 0.0053 ***
 Lag 2: p-value = 0.1567
 Lag 3: p-value = 0.0960 *
 Lag 4: p-value = 0.0609 *
 Lag 5: p-value = 0.2141

[Retail_Sales_Surprise]

Lag 1: p-value = 0.0201 **
 Lag 2: p-value = 0.4071
 Lag 3: p-value = 0.4043
 Lag 4: p-value = 0.4859
 Lag 5: p-value = 0.7699

	XLK			XLE			XLF			XLV		
	Coef	P-Val	Sig	Coef	P-Val	Sig	Coef	P-Val	Sig	Coef	P-Val	Sig
const	0.0001	0.0000	***	0.0001	0.0000	***	0.0001	0.0000	***	0.0	0.0000	***
L1.NFP_Surprise	0.0000	0.5546		0.0000	0.7997		-0.0000	0.0643	*	0.0	0.0998	*
L1.Retail_Sales_Surprise	-0.0000	0.3371		0.0000	0.0001	***	0.0000	0.7626		-0.0	0.7725	
L2.Retail_Sales_Surprise	0.0000	0.2555		-0.0000	0.0765	*	0.0000	0.2910		0.0	0.3413	
L3.NFP_Surprise	-0.0000	0.2494		0.0000	0.2458		0.0000	0.5074		-0.0	0.0506	*
L4.NFP_Surprise	0.0000	0.4477		-0.0000	0.0091	***	-0.0000	0.3615		0.0	0.2129	
L6.NFP_Surprise	0.0000	0.1771		-0.0000	0.0010	***	0.0000	0.9118		0.0	0.6427	
L7.NFP_Surprise	-0.0000	0.1483		0.0000	0.0206	**	-0.0000	0.3180		-0.0	0.5781	
L9.NFP_Surprise	0.0000	0.0737	*	-0.0000	0.9346		0.0000	0.5373		0.0	0.2553	

[XLE] Shock to NFP_Surprise -> Effect on Sq_Log_Return



[XLE] Shock to Retail_Sales_Surprise -> Effect on Sq_Log_Return

